Since there is no compulsory or standardized reporting of PE funds (unlike 40-Act funds, see chapter 16), GPs can pick and choose between IRRs, multiples, and other performance measures. PE buyouts always report multiples, but they don't always report IRRs. When performance is poor, the IRR is often missing. This is not surprising. Take the extreme case: if the multiple is exactly zero, the IRR should be –100%. Phalippou (2009) documents that when multiples are less than 0.1, the IRR is missing in more than 80% of cases.

3.3. PMEs

Both the IRR and multiples are absolute measures that do not calculate performance relative to a benchmark. Steven Kaplan and Antoinette Schoar (2005), who study PE at the University of Chicago and MIT, respectively, introduced the PME to rectify this shortcoming.[17] The PME computes PE performance relative to the market. Practitioners have been slow to warm to the PME, but it is widespread in academic circles.

The PME discounts LPs' inflows divided by the value of outflows using realized market returns:

$$PME = \frac{\left(\sum \frac{Dist(t)}{\Pi(1 + r_m(t))} \right)}{\left(\sum \frac{Call(t)}{\Pi(1 + r_m(t))} \right)}, \tag{18.3}$$

where $r_m(t)$ is the market return. The term $\Pi(1 + r_m(t))$ discounts the cash flows back to the start of the fund, so it takes into account the opportunity cost of being invested in the public equity market.

Figure 18.5 plots PMEs for buyouts and VC funds computed by Harris, Jenkinson, and Kaplan (2012). Taking into account market risk makes a difference. The average multiple for buyouts is 2.0 in Figure 18.4, which comes down to 1.3 in Figure 18.5 for PMEs. In particular, multiples of buyouts during the 1980s were around 3.0, but PMEs were just above 1.0. Like the multiple measures, buyout PMEs were around 1.5 in the early 2000s but since 2006 have been at or below 1.0. The story is similar for VC funds. The average VC multiple in Figure 18.4 is 2.5, and this comes down to 1.5 using PMEs. Figure 18.5 shows that although VC PMEs rose to over 4.0 in the mid-1990s, they have averaged below 1.0 since 1999.

PMEs assume capital calls and distributions have the same risk as the market. In reality, the denominator includes management fees, which are largely risk-free

[17] A related measure is the Profitability Index introduced by Ljungqvist and Richardson (2003), which takes a similar form to equation (18.3) except Ljungqvist and Richardson recommend discounting at a Treasury-bond rate for calls and the expected (not realized) return for distributions.